CELH

Celsius Holdings, Inc.

STOCK PITCH — EQUITY RESEARCH PRESENTATION

BUY | Current Price ~35 | Target: $75–$85 | ~100% Upside

Secular growth in functional beverages — not cyclical

Current Environment Favors Secular Consumer Staples

RATE ENVIRONMENT

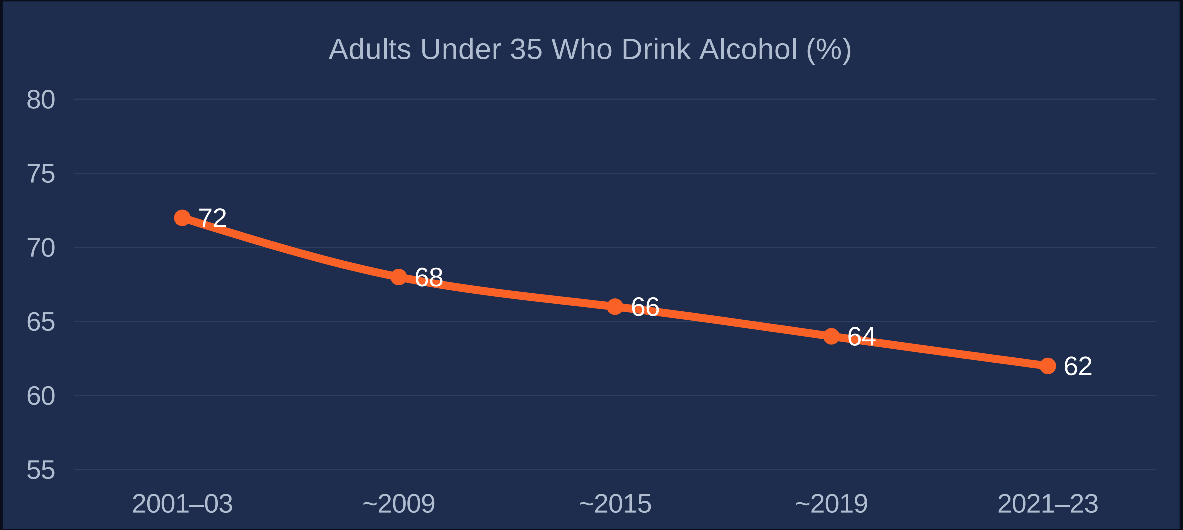
As rates stabilize, fall, or rise. Stocks with predictable earnings streams like tobacco, alcohol, food, beverages, personal care, etc — not rate-sensitive cyclicals — benefit the most.

CONSUMER RESILIENCE

Energy drinks are an everyday affordable indulgence (~$2–4). Even in a downturn, consumers cut vacations before they cut their morning energy drink. Highly sticky demand.

HEALTH & WELLNESS MEGA-TREND

Consumers are actively shifting to functional, better-for-you beverages. Celsius sits directly in the intersection of energy + health



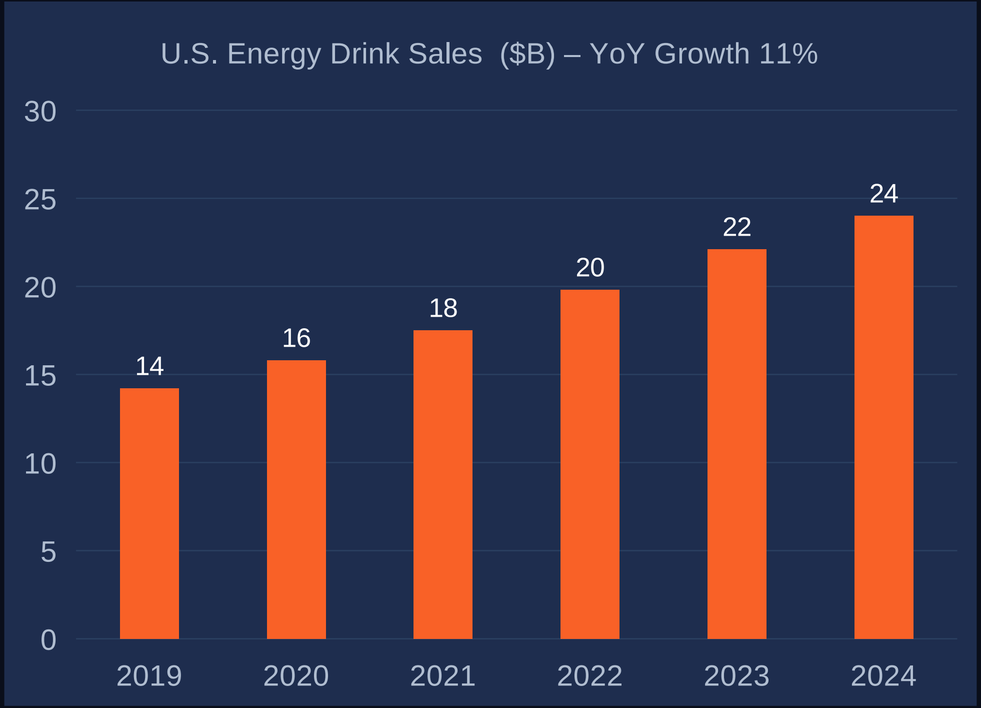
↓ 10%
Drop in Youth Drinking
Adults under 35 who drink: 72% (2001) → 62% (2023) — Gallup

20%
Less Than Millennials
Gen Z drinks 20% less than millennials on average — World Finance

As alcohol loses ground with young adults, energy drinks, especially functional, better-for-you brands like Celsius, are filling the gap.

INDUSTRY OVERVIEW

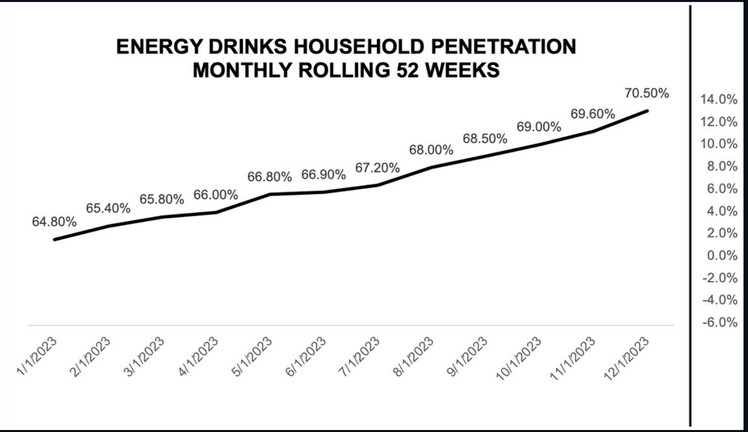
U.S. Energy Drink Market Continues to Grow



70.5%

Household Penetration

Up from 64.8% in Jan 2023 (Circana MULOC)



Sources: Grand View Research · Custom Market Insights · Circana MULOC 2024

KEY CATALYSTS & RECENT NEWS

Major Strategic Moves

01 PepsiCo Distribution Lock-In

2022 → 2025 → Ongoing

- PepsiCo owns ~11% stake in CELH ($1.135B total invested)
- ALL three brands now distributed via PepsiCo's DSD network
- CELH becomes PepsiCo's 'energy category captain' in US
- PepsiCo gets a board seat — deeply aligned incentives
- Moat: independent distributors can't compete with Pepsi's reach

02 Alani Nu Acquisition

April 2025 · $1.8B

- Fastest-growing energy brand in the US (64% retail growth in 2024)
- Female-first positioning fills a massive demographic gap
- Generated $1B+ revenue in its first year under CELH
- Cherry Bomb LTO sold out 'in record time' post-acquisition
- Integrating into Pepsi DSD — distribution efficiency gains ahead

03 Rockstar Energy Acquisition

September 2025

- Acquired Rockstar US/Canada rights from PepsiCo in brand swap deal
- Enters traditional/classic energy segment (~50% of category growth)
- Completes the portfolio: health (CELH) + female (Alani) + classic (Rockstar)
- Retail sales grew from $150M (2020) → $5B (2025) → projected $6B (2026)
- 37% increase in total distribution points in 2024 alone

COMPANY OVERVIEW

Market Share %

CELSIUS

Core Brand

US Market Share **11.8%**

ALANI NU

Acquired April 2025 · $1.8B

US Market Share **~5%**

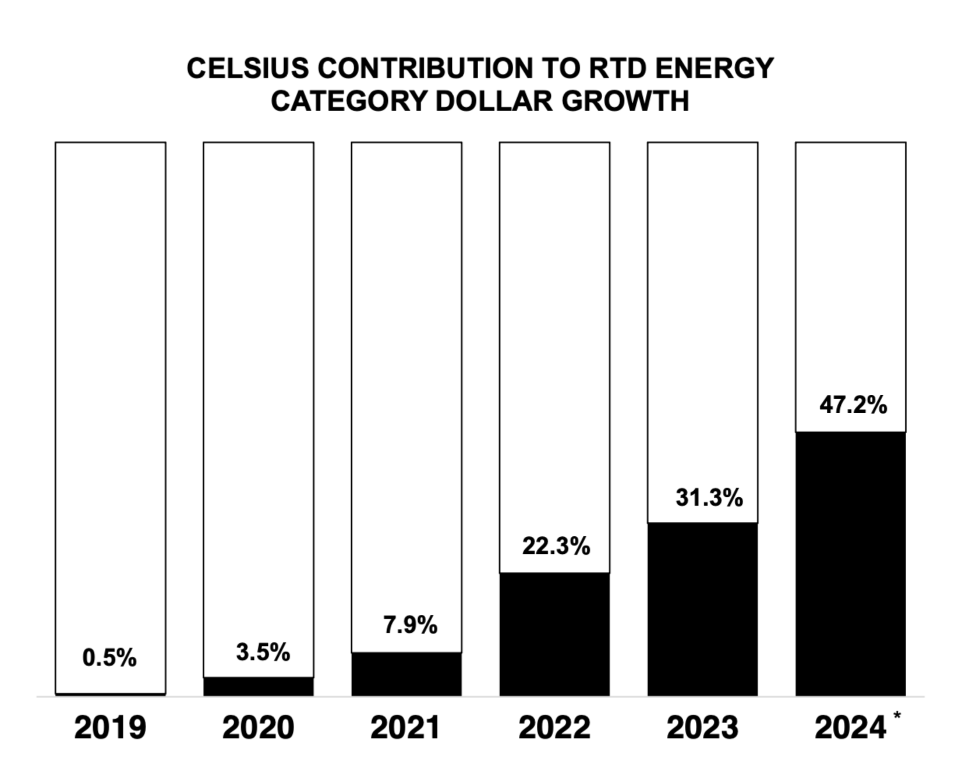
ROCKSTAR

Acquired from PepsiCo, Sept 2025

US Market Share **~2-3%**

COMBINED: ~17-20% US market share — #3 globally behind Red Bull (#1) and Monster (#2)

Celsius drove 47% of all energy drink category growth



- The energy drink market is huge and mostly locked up by Red Bull (37%) and Monster (28%)
- Two giants have billions in existing sales, but they're relatively flat or declining.
- Celsius is smaller in total size but growing explosively.

An example to make it click:

- Red Bull does $100M → grows to $102M. That's $2M in new dollars.
- Celsius does $20M → grows to $40M. That's $20M in new dollars.

Celsius is smaller in total size but it contributed more to growth of because it's the one adding new sales while the big guys stagnate.

- Celsius controls 20% of the market share below Red Bull and Monster but 47% of all new growth.
- Celsius is the only brand in the category with real momentum

FINANCIAL OVERVIEW — IS, BS, CFFA

Balance Sheet

Strongest Points

TOTAL ASSETS (2025)

$5.1B

16× since 2021 ($314M)

STOCKHOLDERS' EQUITY (2025)

$1.18B

5× since 2021 ($217M)

TOTAL DEBT RATIO (2025)

Total Assets grow faster than Total Liabilities over the years

Red Flag

Acct. Rec: **$755M**

- **Alani Nu Acquisition**

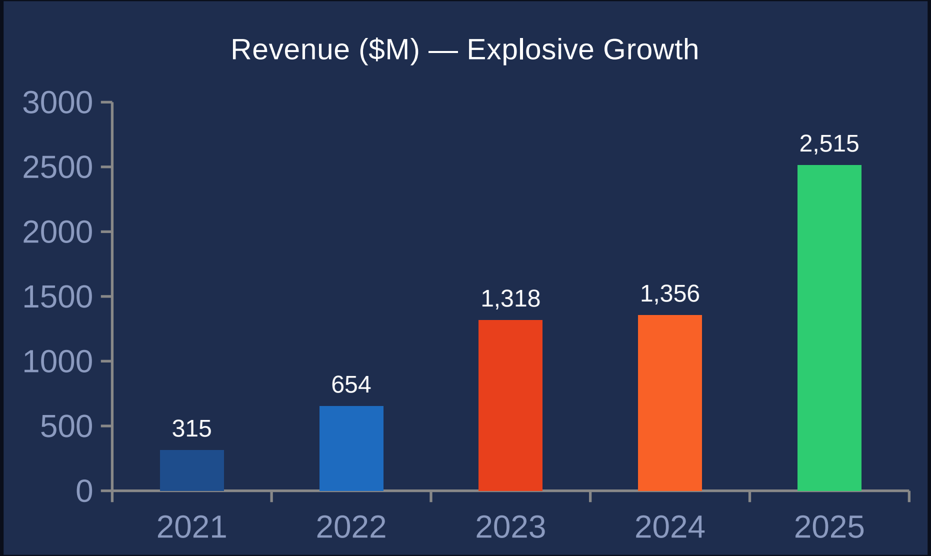
  The combined balance sheet — this is structural, not a collection issue.

- **Cash Deployed Strategically — Not Lost**

  Cash fell from $890M to $399M as Celsius funded the Alani Nu deal. Total equity tripled to $1.18B, confirming value creation — not deterioration.

		2022	2023	2024	2025
ASSETS					
Current assets:					
Cash and cash equivalents	$ 16,255.00	$ 614,159.00	$ 755,981.00	$ 890,190.00	$ 398,866.00
Restricted Cash	$ -	$ 38,768.00	-	-	$ 141,121.00
Accounts receivable-net	$ 38,741.00	$ 63,311.00	$ 183,703.00	$ 270,342.00	$ 755,499.00
Note receivable-net	$ 2,588.00	$ 2,979.00	$ 2,318.00	-	-
Inventories-net	$ 191,222.00	$ 173,289.00	$ 229,275.00	$ 131,165.00	$ 337,698.00
Deferred other costs-current	$ -	$ 14,124.00	$ 14,124.00	$ 14,124.00	$ 49,164.00
Prepaid expenses and other current assets	$ 13,555.00	$ 11,341.00	$ 19,503.00	$ 18,759.00	$ 128,806.00
Total current assets	**$ 262,361.00**	**$ 917,971.00**	**$ 1,204,904.00**	**$ 1,324,580.00**	**$ 1,811,154.00**
Note receivable-non-current	$ 7,117.00	$ 3,574.00	-	-	
Property, plant and equipment-net	$ 3,180.00	$ 10,185.00	$ 24,868.00	$ 55,602.00	$ 87,910.00
Right of use assets-operating leases	$ 1,128.00	$ 972.00	$ 1,957.00	$ 21,606.00	
Right of use assets-finance leases-net	$ 86.00	$ 208.00	$ 208.00	$ 230.00	$ 111,604.00
Intangibles-net	$ 16,301.00	$ 12,254.00	$ 12,139.00	$ 12,213.00	$ 1,280,311.00
Goodwill	$ 14,527.00	$ 13,679.00	$ 14,173.00	$ 71,582.00	$ 917,560.00
Deferred other costs-non-current	$ -	$ 262,462.00	$ 248,338.00	$ 234,215.00	$ 771,635.00
Deferred tax assets	$ 9,019.00	$ 501.00	$ 29,518.00	$ 38,699.00	$ 96,013.00
Other long-term assets	$ 299.00	$ 263.00	$ 291.00	$ 8,154.00	$ 43,434.00
Total Assets	**$ 314,018.00**	**$ 1,222,069.00**	**$ 1,536,396.00**	**$ 1,766,881.00**	**$ 5,119,621.00**
LIABILITIES, MEZZANINE EQUITY AND STOCKHOLDERS' EQUITY					
Current liabilities:					
Accounts payable	$ 72,442.00	$ 36,248.00	$ 42,840.00	$ 41,287.00	$ 137,930.00
Accured expenses		$ 69,899.00	$ 62,120.00	$ 148,780.00	$ 230,721.00
Income taxes payable		$ 1,193.00	$ 50,424.00	$ 10,834.00	$ 49,612.00
Accrued distributor termination fees	$ -	$ 3,986.00	-	-	$ 264,088.00
Accrued promotional allowance	$ 19,037.00	$ 35,977.00	$ 99,787.00	$ 135,948.00	$ 307,922.00
Lease liability operating leases	$ 512.00	$ 661.00	$ 980.00	$ 3,265.00	
Lease liability finance leases	$ 157.00	$ 70.00	$ 59.00	$ 100.00	$ 25,000.00
Deferred revenue	$ -	$ 9,675.00	$ 9,513.00	$ 9,513.00	$ 26,988.00
Other current liabilities	$ 976.00	$ 3,586.00	$ 10,890.00	$ 15,808.00	$ 36,465.00
Total current liabilities	**$ 93,124.00**	**$ 161,295.00**	**$ 276,613.00**	**$ 365,535.00**	**$ 1,078,726.00**
Lease liability operating leases	$ 658.00	$ 326.00	$ 955.00	$ 16,674.00	$ 669,926.00
Lease liability finance leases	$ 45.00	$ 162.00	$ 193.00	$ 211.00	$ 401,155.00
Deferred tax liability	$ 3,146.00	$ 15,919.00	$ 2,880.00	$ 2,330.00	$ 28,372.00
Deferred revenue	$ -	$ 179,788.00	$ 167,227.00	$ 157,714.00	
Total Liabilities	**$ 96,973.00**	**$ 357,490.00**	**$ 447,868.00**	**$ 542,464.00**	**$ 2,178,179.00**
Commitment and contingencies					
Mezzanine Equity:					
Series A convertible preferred stock	$ -	824,488.00	824,488.00	824,488.00	852,355.00
					907,620.00
Stockholders' Equity:					
Common stock	$ 75.00	$ 76.00	$ 77.00	$ 79.00	$ 101.00
Treasury Stock					$ (48,226.00)
Additional paid-in capital	$ 267,846.00	$ 280,668.00	$ 276,717.00	$ 297,579.00	$ 1,050,518.00
Accumulated other comprehensive loss	$ 614.00	$ (1,881.00)	$ (701.00)	$ (3,250.00)	$ 3,162.00
Retained earnings (accumulated deficit)	$ (51,490.00)	$ (238,772.00)	$ (12,053.00)	$ 105,521.00	$ 175,912.00
Total Stockholders' Equity	$ 217,045.00	$ 40,091.00	$ 264,040.00	$ 399,929.00	$ 1,181,467.00
Total Liabilities, Mezzanine Equity and Stockholders' Equity	**$ 314,018.00**	**$ 1,222,069.00**	**$ 1,536,396.00**	**$ 1,766,881.00**	**$ 5,119,621.00**

Income Statement



Revenue (2025)

$2.5B

85% YoY Growth

KEY FINANCIALS ($M)

Metric	2023	2024	2025
Revenue	$1,318M	$1,356M	$2,515M
Gross Profit	$633M	$680M	$1,267M
Gross Margin	48.0%	50.2%	50.4%
Op. Income	$266M	$156M	$469M
Net Income	$~200M	$~163M	$~64M*
EPS (diluted)	$0.83	$0.54	$0.25*

**2025 EPS depressed by acquisition costs (Alani Nu $1.8B) — non-recurring. Forward EPS ~$0.91 consensus.*

Cash Flow from Assets

	2021	2022	2023	2024	2025
EBIT	$ (4,090.00)	$ (157,801.00)	$ 266,366.00	$ 155,728.00	$ 141,062.00
D&A	$ 1,916.00	$ 1,917.00	$ 3,226.00	$ 7,274.00	$ 7,275.00
OCF	$ 5,822.00	$ (121,266.00)	$ 334,540.00	$ 212,978.00	$ 165,371.00
NCS		$ 8,922.00	$ 17,909.00	$ 38,008.00	$ 39,583.00
NWC	$ 169,237.00	$ 756,676.00	$ 928,291.00	$ 959,045.00	$ 732,428.00
Change in NWC		$ 587,439.00	$ 171,615.00	$ 30,754.00	$ (226,617.00)
CFFA		**$ (717,627.00)**	**$ 145,016.00**	**$ 144,216.00**	**$ 352,405.00**
CA	$ 262,361.00	$ 917,971.00	$ 1,204,904.00	$ 1,324,580.00	$ 1,811,154.00
CL	$ 93,124.00	$ 161,295.00	$ 276,613.00	$ 365,535.00	$ 1,078,726.00
NWC	$ 169,237.00	$ 756,676.00	$ 928,291.00	$ 959,045.00	$ 732,428.00

CFFA = Operating Cash Flow – Net Capital Spending – Change in NWC

This measure is basically Free Cash Flow to the firm, and it represents what's available to pay both debt holders and equity holders. It is the purest measure of whether a business is creating or destroying value.

OCF — cash the operations generate before reinvestment | OCF = EBIT+Depreciation -Tax
NCS — cash spent on new assets | NCS = Ending net fixed assets - beginning net fixed assets + depreciation
Change in NWC — cash tied up (or released) in day-to-day working capital

RATIO ANALYSIS

	2021	2022	2023	2024	2025
CR	2.82	5.69	4.36	3.62	1.68
QR	0.76	4.62	3.53	3.26	1.37
Cash Ratio	0.17	3.81	2.73	2.44	0.37
Total Debt Ratio	0.31	0.29	0.29	0.31	0.43
Debt to Equity Ratio	0.45	8.92	1.70	1.36	1.84
Inventory Turnover	0.97	2.21	2.99	5.15	3.70
Days' Sales in Inventory	375.04	165.26	122.19	70.88	98.77
Receivables Turnover	8.11	10.32	7.17	5.01	3.33
Days' Sales in Receivables	44.99	35.36	50.87	72.79	109.63
Total Assets Turnover Ratio	1.00	0.53	0.86	0.77	0.49
Capital Intensity Ratio	1.00	1.87	1.17	1.30	2.04
ROA	1.25%	-15.32%	14.76%	8.21%	2.11%
ROE	1.81%	-467.14%	85.90%	36.27%	9.14%
PM	1.25%	-28.65%	17.21%	10.70%	4.29%

Liquidity – moving from over liquid to a more efficient use of assets. Company is deploying cash instead of holding it.
Leverage – Total Debt Ratio very stable ~0.29 → rises to 0.43 (2025) financing more assets with debt
Efficiency – Days sales in Inventory is strongly decreased from 375 (2021) to 98 (2025).
Profitability – ROA, ROE, and PM all peaked in 2023 and have slowed a little bit since then. There's room for improvement since they have to lower the cost of revenue.

VALUATION RATIO — CELH vs PEERS

Higher P/E signals market confidence in future earnings growth

Top competitors

As of Apr-17-2026	CELH Celsius Holdings	Industry Average	PEP PepsiCo Inc	KO Coca-Cola Co	KDP Keurig Dr Pepper Inc	MNST Monster Beverage
Industry	Beverages	Beverages	Beverages	Beverages	Beverages	Beverages
Equity Summary Score Provided by LSEG StarMine As of Apr-19-2026	0.8	--	6.5	3.8	3.7	3.7
Price performance (52 Weeks)	-5.34%	+6.78%	+10.38%	+3.75%	-25.06%	+31.35%
P/E (This year's estimate)	22.02	25.47	18.29	23.49	11.67	34.02
Beta	1.16	0.46	0.05	0.10	0.22	0.40
Shares outstanding	235.0M	2.5B	1.4B	4.3B	1.4B	972.5M

RISK & RETURN METRICS — CELH vs PEERS

CELH delivers superior risk-adjusted returns (Sharpe 0.97, Sortino 1.67) despite higher volatility — outperforming peers on an annualized basis

Risk Measures for Celsius	
Return Annualized Average	77.16%
Return Annualized (Geometric)	115.1%
Annualized Volatility	75.89%
Maximum Drawdown	-76.52%
Sharpe Ratio	0.9680
Sortino Ratio	1.6659
Correlation	0.3959
BETA	1.5550

Risk Measures for Monster	
Return Annualized Average	16.96%
Return Annualized (Geometric)	18.4%
Annualized Volatility	25.17%
Maximum Drawdown	-25.80%
Sharpe Ratio	0.5271
Sortino Ratio	0.7340
Correlation	0.5534
BETA	0.7209

Risk Measures for PepsiCo	
Return Annualized Average	4.34%
Return Annualized (Geometric)	4.4%
Annualized Volatility	21.08%
Maximum Drawdown	-34.19%
Sharpe Ratio	0.0307
Sortino Ratio	0.0426
Correlation	0.5163
BETA	0.5632

Risk Measures for Coca-Cola	
Return Annualized Average	38.56%
Return Annualized (Geometric)	46.8%
Annualized Volatility	39.40%
Maximum Drawdown	-33.51%
Sharpe Ratio	0.8850
Sortino Ratio	1.3214
Correlation	0.3959
BETA	0.8073

INVESTMENT CONCLUSION

BUY

Price Target: $75–$85 | ~90% Upside | 12–18 Month Horizon

Conviction: Secular growth story + distribution moat + multi-brand portfolio expansion + strong financials

1 Macro Fit

Functional beverages are secular, not cyclical. Rate environment favors re-rating of durable growth names.

2 Not a Crowded Trade

CELH is not NVIDIA or Mag-7. Low correlation (0.40) to S&P 500. Room for discovery and institutional accumulation.

3 Portfolio Architecture

Celsius + Alani Nu + Rockstar = ~17-20% of US market. Three distinct demographics. One platform.

4 PepsiCo Moat

Exclusive distribution via PepsiCo's network with a board seat and $1.1B invested. The distribution advantage is nearly irreplicable.

5 Financials

2025 revenue $2.5B (85% YoY). Forward P/E 38x reasonable. EPS to recover as acquisition costs normalize. Strong balance sheet (D/E 0.23x).

6 Valuation Upside

Strong Buy Rating from Analysts – $75–$85
Current price ~$35 representing good entry point.